Aether Industries Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Surat-based specialty chemicals maker. It runs three models: its own large-scale products (LSM), exclusive contract manufacturing for global companies (CEM) like Baker Hughes, Milliken, Saudi Aramco and Seqens, and contract research and manufacturing (CRAMS). It serves oil and gas, material science, pharma and agrochemical customers.

Number	Value	What it means
Market cap	Rs 21,658 cr	What the market values the whole company at (Screener).
Q2 FY27 sales	Rs 275 cr	Up 20% on last year and 7% on the June quarter (Screener).
Q2 FY27 operating margin	33%	High for a chemical company; contract work runs at 28-30%-plus margins, per management.
Q2 FY27 net profit	Rs 52 cr	Up from Rs 44 cr a year ago.
Borrowings	Rs 597 cr	Up from Rs 16 cr two years earlier, to build the 16-block Site 5 (Magnum); about Rs 700 cr sits in capital work in progress.
Stock P/E	112x	Very expensive; the price assumes Magnum fills up.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	24 Jul 2025	Yes (key passages)
Q2 FY26	13 Nov 2025	Yes (key passages)
Q3 FY26	3 Feb 2026	Yes (key passages)
Q4 FY26	15 May 2026	Yes (key passages)
Q1 FY27	31 Jul 2026	Yes (key passages)
Q2 FY27	30 Oct 2026	Yes, read in full ★

Six calls over about a year and a half; older calls since the 2022 listing are on Screener but weren't needed.

Latest concall highlights: Q2 FY27 (30 Oct 2026)

- CRAMS plus CEM now over 65% of sales. Oil and gas is 33% of sales.
- Baker Hughes: a second set of oilfield chemicals, moved from Baker Hughes' Singapore plant, shipped in Q2 from Site 4 (Strata) with no new capex. Total Baker opportunity now put at Rs 750-800 cr; target over $100 million of business with Baker Hughes 'in the very near future'.
- New CEM contract with a global agrochemical innovator for a patented launch molecule, production from Q4 FY27 at Magnum block four. Volumes were given two ways in the same call: 200-250 tons a year to start, and 50 tons to start, rising to about 600 tons.
- First commercial semiconductor-material shipments from existing plants; a dedicated Magnum block starts in Q4 FY27. Peak put at Rs 300-400 cr by FY29, but also at 300-400 tons at $45-50 a kg, which works out lower.
- Line of sight on 14 of 16 Magnum blocks, several deals still to be announced. Working capital 165 days, inventory up on new sites. Capex Rs 350-370 cr in FY27.

Business mix & capacity

Domestic vs export: Exports about 36% and domestic 64% of revenue (Q3 FY26 call); not updated in the Q2 FY27 call.

> **Capacity use:** Site 3++ commissioned Feb 2026 and ramping; first Magnum (Site 5) blocks running LSM pharma products; about Rs 400 cr of Magnum to be capitalised by March 2027. Management says it has line of sight on 14 of Magnum's 16 blocks.

3. Earning Trigger thesis

Management's trigger is the move from selling its own chemicals to long-term exclusive contracts with global majors, now filling a new 16-block mega site called Magnum. Contract work is already two-thirds of sales and earns 28-30%-plus margins, Baker Hughes keeps widening the relationship, and new contracts in agrochemicals, semiconductors and material science have named start dates (Q4 FY27). Sales are growing about a fifth a year. The risks: most of the Magnum filling is 'best case' and still to be signed, debt has risen sharply, working capital is long, and some of the numbers given on the call didn't add up.

Trigger	What management said	Evidence so far	Time horizon	Strength
Baker Hughes expansion	Second product set shipped; opportunity Rs 750-800 cr	Oil and gas 33% of sales; shipped in Q2	FY27-FY28	Strong
Magnum site fill-up	14 of 16 blocks in sight; several deals to announce	First LSM blocks running; agro and semiconductor blocks from Q4 FY27	FY27-FY29	Moderate, much not yet signed
Agrochemical CEM contract	Launch molecule, production from Q4 FY27	Qualification done	Q4 FY27	Moderate
Semiconductor materials	Rs 300-400 cr by FY29	Modest first shipments	FY29	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Borrowings rose to about Rs 597 cr for Magnum.
New business	Yes	New CEM contract with a global agrochemical innovator; first semiconductor shipments; Dow silicones research programme (30 Oct 2026).
Margin up	Yes	Gross margins to keep rising as mix moves to CEM and CRAMS; EBITDA margin seen above the 30% it guides (30 Oct 2026).
New management	No	No change.
New capacity	Yes	Magnum blocks for semiconductor and agrochemical products to start in Q4 FY27; about Rs 400 cr to be capitalised this year (30 Oct 2026).
Big orders	Yes	Second Baker Hughes product set; total Baker opportunity Rs 750-800 cr (30 Oct 2026).
Turnaround	No	Not a turnaround.
Promoter buying	No	Not mentioned.

The single concrete driver: Long-term exclusive contracts with global majors like Baker Hughes, plus new agrochemical and semiconductor contracts, are filling the new Magnum site from Q4 FY27.

3c. Margin bridge

Operating margin was about 33% in Q2 FY27 vs 31% a year ago and 26% in Q4 FY26. Management credits the shift to contract manufacturing, which runs at 28-30%-plus margins, and says gross margins keep rising as complexity goes up. LSM prices spiked in Q4 FY26 because of the conflict and held into April-May (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
	Site 3+ for Milliken to start by Q4 FY26	Site 3++ commissioned end of Feb 2026, ramping	Delivered

Period	What was promised	What actually happened	Verdict
Jul 2025			
Jul 2025	First two Magnum blocks commissioned by end of Q3 FY26	Built by Feb 2026; LSM products commissioned around end of May / early June 2026	Partly (a few months late)
Nov 2025	Otsuka contract Rs 35-40 cr in FY26; Converge polyol targets met	Management said polyol targets were hit (May 2026)	Delivered
Nov 2025	CEM plus CRAMS 60-70% of sales within two years	Over 65% by Q2 FY27	Delivered early
Jul 2026	Core business compounding 25-30%	Sales up 19-20% in Q1 and Q2 FY27	Partly
Oct 2026	Agrochemical and semiconductor blocks from Q4 FY27	Not yet due	Too-early

Narrative drift: The direction has stayed the same for two years: shift from own products to contract work and fill new sites. Delivery has been mostly on time with a small slip on Magnum. But the pitch keeps getting bigger (Magnum nearly full, Baker Hughes doubled, semiconductors, Dow silicones) while sales grow about 20%, slower than the 25-30% they talk about, and the latest call gave two different volume figures for the agro contract.

5. Bottom line

Durable earning trigger? → YES

Named contracts with named customers, already two-thirds of sales and growing, with new blocks starting on set dates. The size of the Magnum opportunity is mostly still to be signed, so the top end is unproven.

Management consistent? → MAYBE

Plants mostly came up on time and the contract-mix target was hit early. But growth is running below the 25-30% they describe, the Magnum timing slipped a little, and some guidance on the latest call was inconsistent.

6. Checkpoints for next quarter

- Agrochemical CEM block at Magnum starts production in Q4 FY27
- At least one of the promised new Magnum contracts is announced
- Inventory and working capital days come down from 165

This is not investment advice. Do your own due diligence.